

no importance in investment activities. (We are enormously indebted to those academics: what could be more advantageous in an intellectual contest—whether it be bridge, chess, or stock selection than to have opponents who have been taught that thinking is a waste of energy?)<sup>4</sup>

—Warren Buffett

Over the past 20 years, there hasn't been much change in the thinking of institutional investors with regard to market efficiency, as stated by Charlie Munger when speaking at the 2004 Wesco annual meeting:

Very few people have adopted our approach.... Maybe two percent of people will come into our corner of the tent, and the rest of the ninety-eight percent will believe what they've been told (e.g., that markets are totally efficient).<sup>5</sup>

—Charlie Munger

It is instructive to note that Mr. Buffett bought his *Washington Post* stake at a 75 percent discount to intrinsic value. As Benjamin Graham told Senator Fulbright, all discounts to intrinsic value eventually close. Mr. Buffett knew that this gap was likely to close in a few years. Whenever I make investments, I assume that the gap is highly likely to close in three years or less. My own experience as a professional investor over the past seven years has been that the vast majority of gaps close in under 18 months.

Mr. Buffett bought his *Washington Post* stake for about \$6.15 per share in 1973. He knew then that the business was worth about \$25 per share. Let's assume that the *Washington Post* got to at least 90 percent of its intrinsic